

Investment pack for M2 Ventures GmbH · Document 1 of 4 · Ref LCY-M2V-2026-01 · Confidential · September 2026

The unit of account: 1 MWp of solar with a 1 MW / 4 MWh battery

Cyprus, September 2026

Cyprus has no electricity interconnector. In the first five months of 2026 the grid refused roughly 65% of the island's potential solar generation, while evening power cleared at some of the highest prices in Europe. Every asset in this pack is built from one unit: a megawatt-peak of solar paired with a four-hour battery. The solar is sized to the land and the grid connection; the battery is sized to the *curtailment*, so that energy the grid refuses at midday is stored at no fuel cost and sold into the evening peak. This page is the arithmetic of that unit. The three project teasers that follow are the same block, scaled.

1.0 MWp Fixed tilt 25°, bifacial	1.0 / 4.0 MW / MWh LFP, four-hour	€1.36m Turnkey build cost, ex VAT	€227,300 Year 1 EBITDA, unlevered	16.7% Year 1 yield on cost
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Why the battery is four hours, and not the one hour in the brief

M2's inquiry specifies up to 5 MWp of solar with up to 5 MWh of storage — a one-hour battery. In a market curtailing 65% of solar output, one hour is the wrong instrument. It absorbs less than a quarter of what the grid refuses, and the rest is still lost. The table is the same 1 MWp plant with five different battery sizes at the 2026 curtailment rate.

Battery per MWp	Curtailed energy available	Delivered to the evening market	Share of curtailed energy captured	Battery revenue, Year 1
1.0 MWh — one hour, as per the brief	1,398 MWh	320 MWh	22.9%	€56,100
2.0 MWh — two hours	1,398 MWh	641 MWh	45.9%	€112,200
3.0 MWh — three hours	1,398 MWh	961 MWh	68.8%	€168,200
4.0 MWh — four hours, base case	1,398 MWh	1,190 MWh	85.2%	€208,300
5.0 MWh — five hours	1,398 MWh	1,190 MWh	85.2%	€208,300

At 65% curtailment a 1 MWp plant sheds 1,398 MWh a year, an average of 3.8 MWh a day and more in spring. Below four hours the battery is charge-limited for much of the year. The fourth megawatt-hour costs €127,000 and adds €36,000 a year of net revenue — a 28% marginal return and a 3.5-year payback on that increment alone. The fifth adds nothing at all: the curtailed energy runs out before the battery fills. Four hours is not a preference, it is where the arithmetic stops.

Year one, per 1 MWp block

Energy and revenue	MWh	€/MWh	€	Turnkey build cost, ex VAT	€
Gross generation	2,150	—	—	PV EPC — 1.0 MWp at €0.72/Wp	720,000
Exported directly (35%)	753	127	95,600	BESS EPC — 4.0 MWh at €127k/MWh	508,000
Curtailed, recovered by battery	1,190	175	208,300	Development, grid, permits, contingency	132,600
Curtailed, not recovered	207	—	—	Total, excluding land and acquisition	1,360,600
Gross energy revenue	1,943	156	303,900	Year 1 yield on cost	16.7%
Aggregator and offtake fee, 10%			(30,400)	Simple payback, unlevered	6.0 years
Operating cost — O&M, insurance, land			(46,200)	Realised average price, all energy sold	€156/MWh
Year 1 EBITDA, unlevered			227,300	Land	Leased, not purchased

The battery earns 69% of the revenue from 61% of the energy.

Unlevered, before Cyprus corporate income tax of 15%. Site acquisition costs are shown in each project teaser.

The return is close to indifferent to curtailment. That is the whole case.

Curtailment scenario	Exported	Recovered by battery	Year 1 EBITDA	Yield on cost	Same plant with no battery
35% — grid reinforcement succeeds	1,398 MWh	641 MWh	€214,500	15.8%	15.6%
50% — 2025 national actual was 47.4%	1,075 MWh	916 MWh	€220,900	16.2%	11.3%
65% — 2026 national actual, base case	753 MWh	1,190 MWh	€227,300	16.7%	7.0%
75% — further deterioration	538 MWh	1,282 MWh	€217,100	16.0%	4.1%

Right-hand column: the same 1 MWp plant built without storage, measured against a PV-only cost of €852,600 and PV-only operating cost of €26,700. Rising curtailment takes a solar park without storage from 15.6% to 4.1%. It moves a park with a four-hour battery by less than a percentage point, and in the direction of travel it improves, because every megawatt-hour the grid refuses is a megawatt-hour the battery takes at no fuel cost and sells at the evening price. This is why we build solar and storage together rather than solar first and storage later.

How this scales to the mandate

M2's envelope is up to 5 MWp. On the four-hour ratio that is up to 20 MWh of storage rather than the 5 MWh in the original brief, and it is the first point we would want to discuss. The Cyprus pipeline in the three teasers that follow totals 7.64 MWp across three assets at three different stages. The combination that fits the mandate most closely is **Agios Theodoros** (2.64 MWp, ready to build) with the **Margí expansion plot** (1.70 MWp, permitted) — 4.34 MWp and 17.36 MWh inside the envelope. The operating 3.3 MWp park at Margí is available separately as an immediate-cash-flow alternative or in place of the expansion plot.

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Basis. Wholesale prices from published TSOC day-ahead market files, 1 Oct 2025 – 11 Feb 2026 (134 trading days, 6,432 half-hourly prints): daytime average €127/MWh, evening peak (17:00–21:00) average €183/MWh. This pack takes €175/MWh for evening capture, €8/MWh below the measured average. Curtailment base case of 65% is the published national rate for January–May 2026 (162 GWh curtailed); 2025 full year was 47.4% (306 GWh, CyprusGrid). Specific yield of 2,150 kWh/kWp · yr is the Lighthief design figure for fixed tilt 25° south with bifacial modules and white albedo; site-specific yield is confirmed by PVsyst before any commitment. Battery round-trip efficiency 87.8% AC–AC; effective capture of curtailed energy 85%, being daily-shape collection multiplied by round-trip efficiency. EPC rates €0.72/Wp (PV, turnkey) and €127,000/MWh (BESS, ex VAT) per the Lighthief EPC workbook v4, February 2026, and are indicative pending final specification and equipment pricing at the date of order. Revenues are stated after a 10% aggregator and offtake fee and before Cyprus corporate income tax, which rose from 12.5% to 15% on 1 January 2026. Figures are unlevered and exclude VAT. Merchant exposure to a day-ahead market with under two years of published price history is the single largest uncertainty in this case; no revenue is contracted.

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